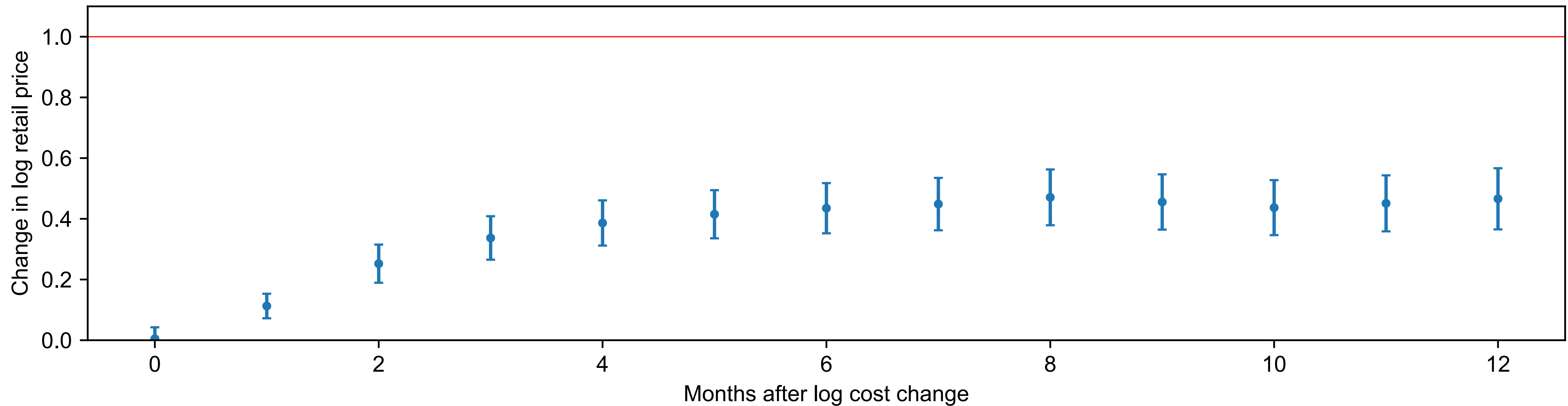


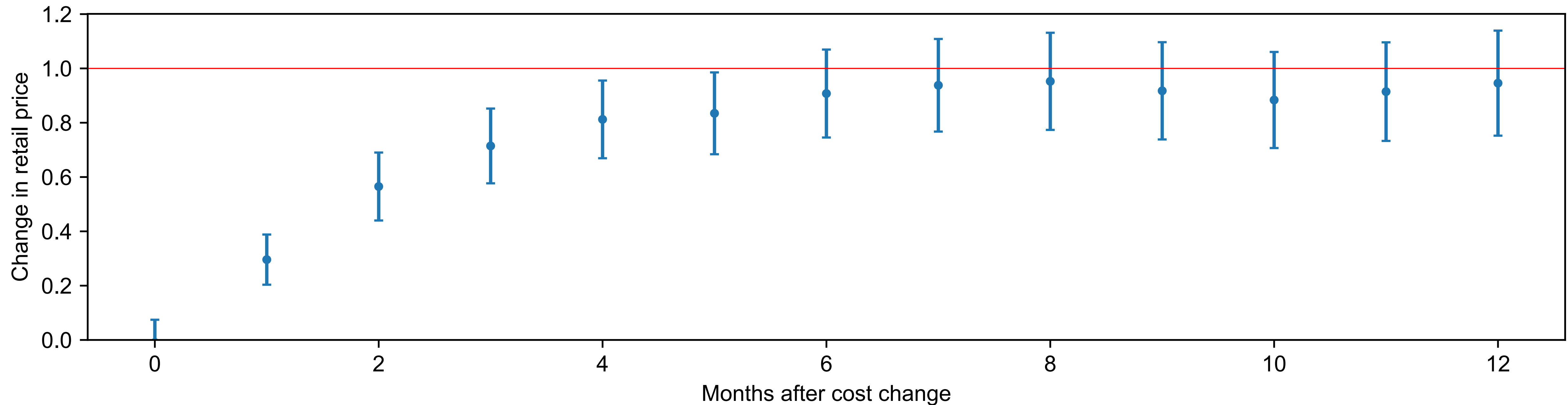
Fun Facts about Prices

10% increase in coffee bean commodity prices raises retail prices by 4%

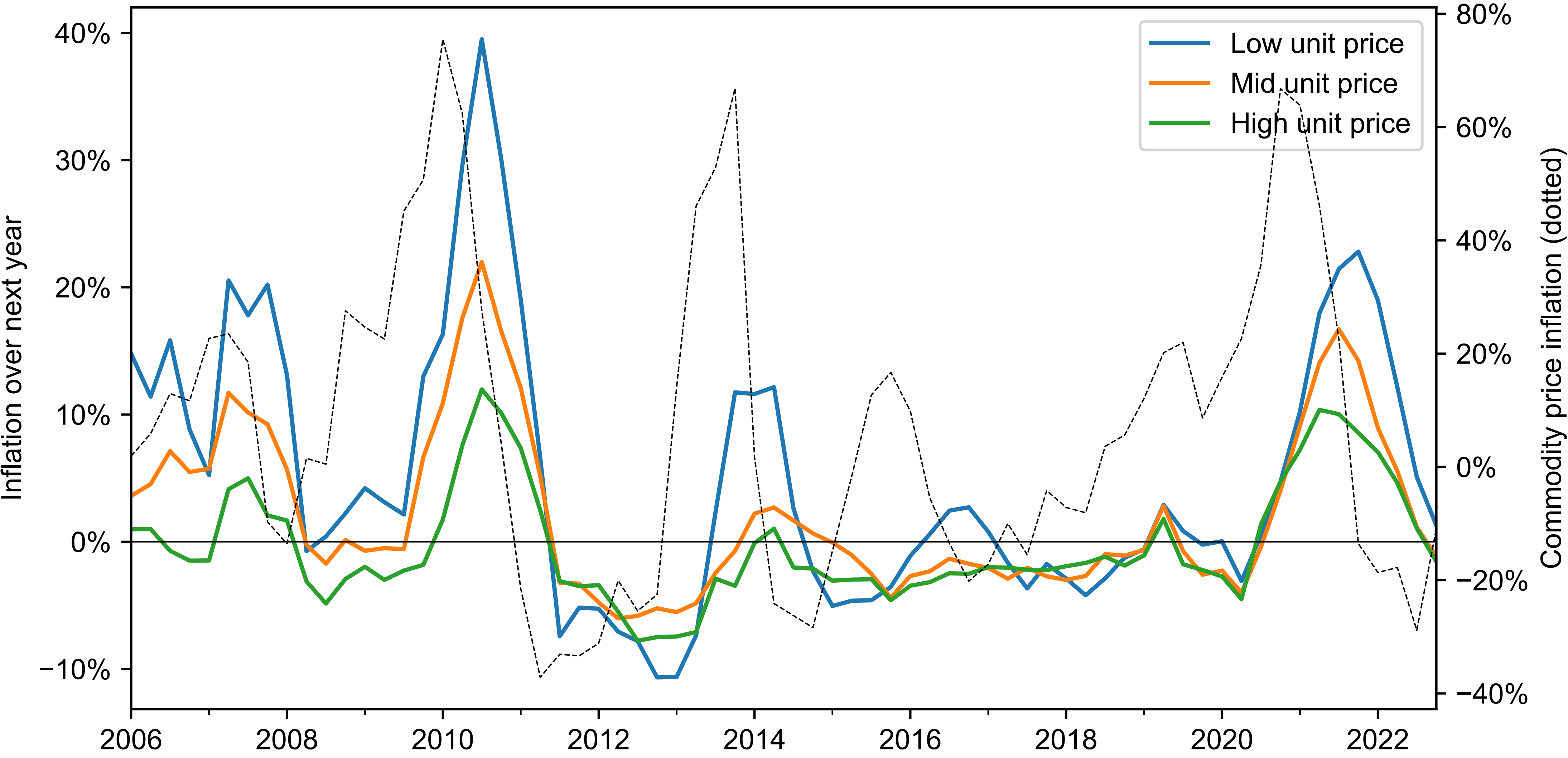


10% increase in coffee bean commodity prices
raises retail prices by 4%

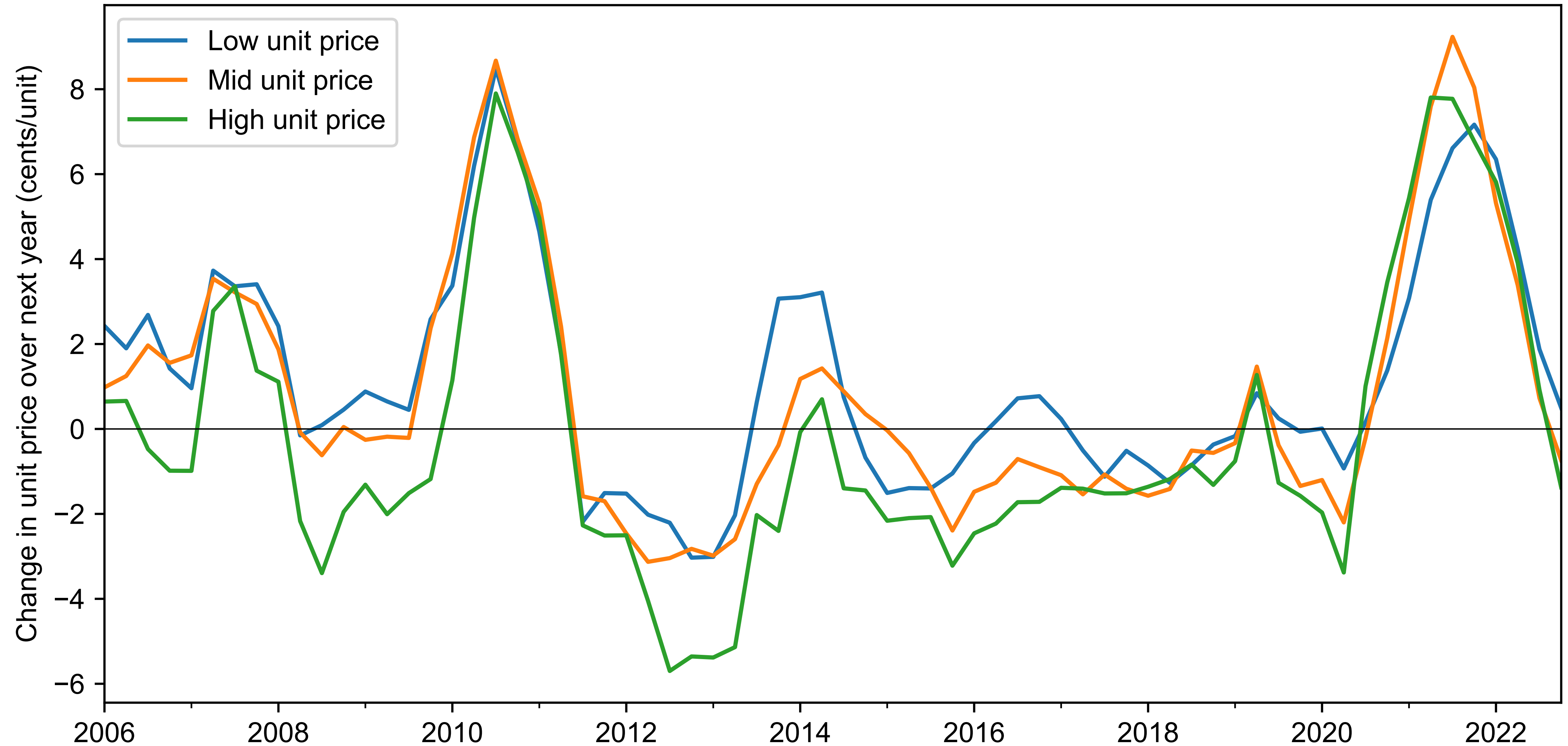
10¢ increase in coffee bean commodity prices
raises retail prices by 10¢



Low-priced products exhibit greater sensitivity of inflation to costs



Differences disappear when measuring price changes in levels





\$4



\$7



\$4

\$8



\$7

\$11



\$4

\$8

+100%

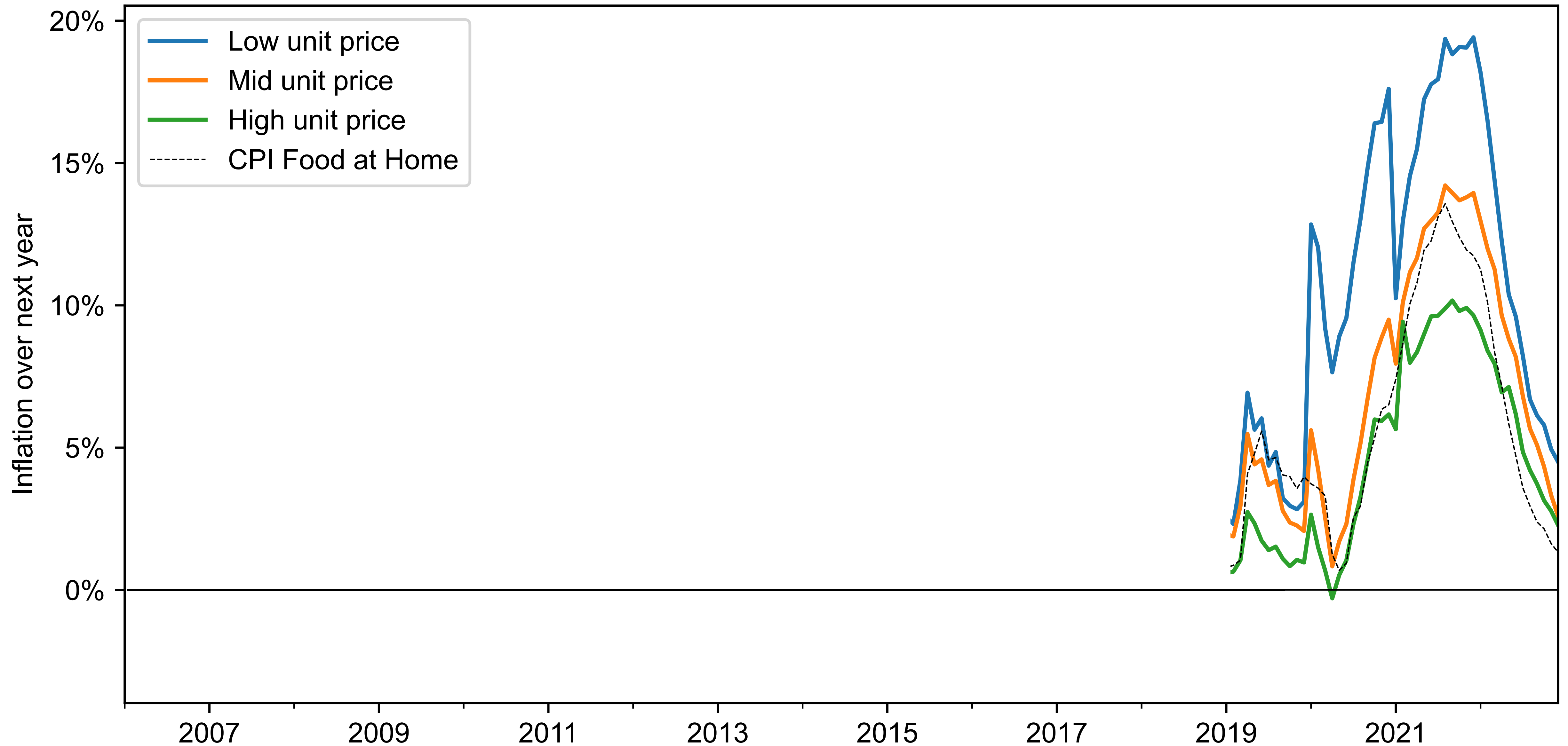


\$7

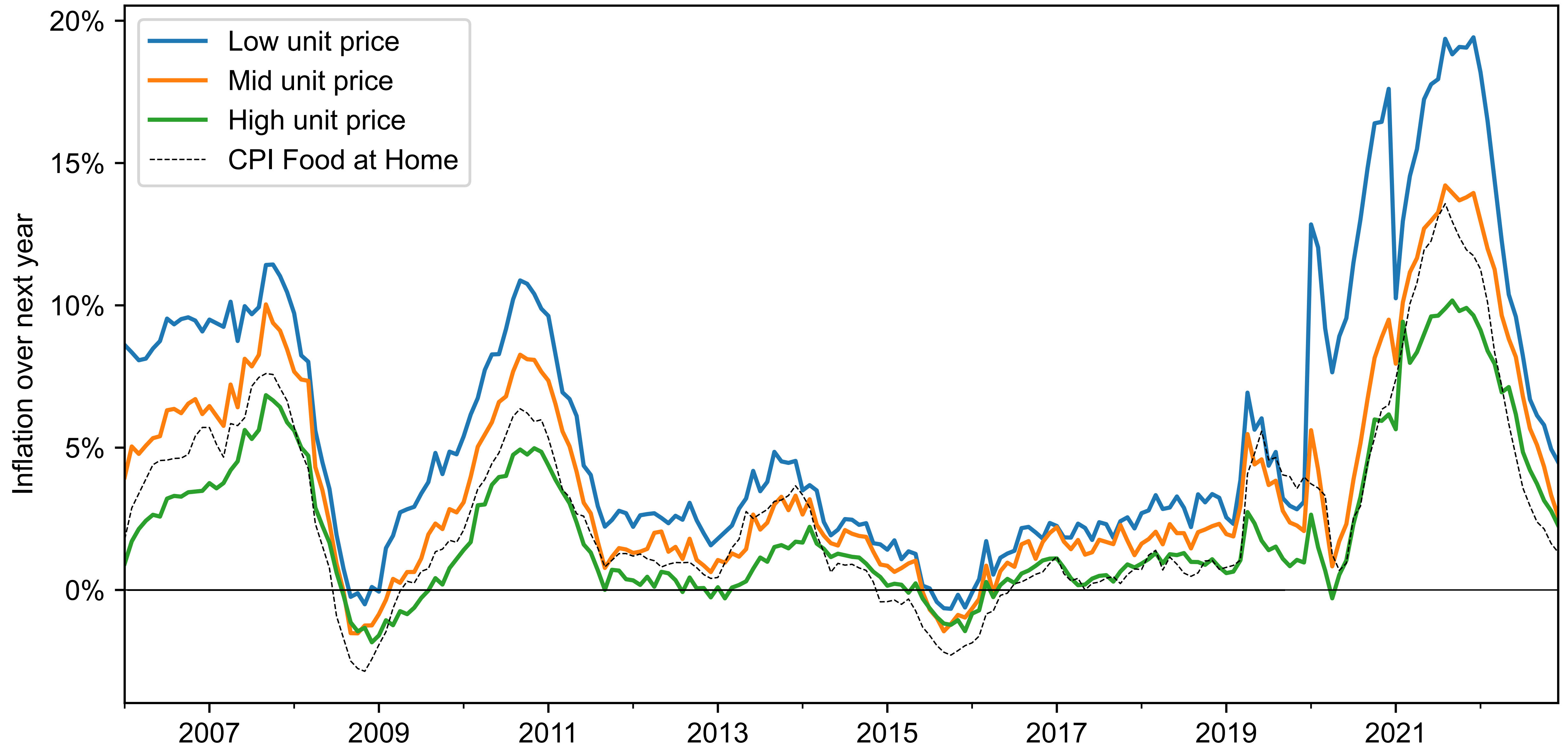
\$11

+57%

Cheapflation in food-at-home



Cheapflation in food-at-home



New Stuff

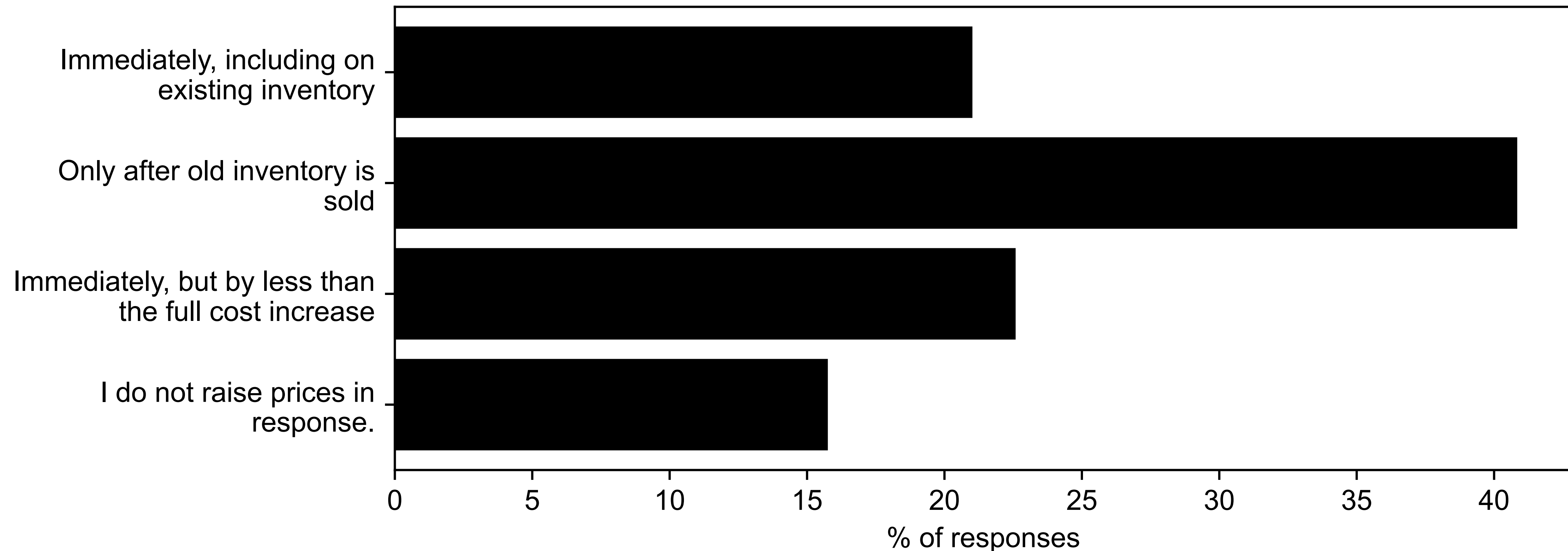
The puzzling case of the pre-tariff inventories

The puzzling case of the pre-tariff inventories

- “Several contacts noted they were still working through pre-tariff inventories, thus delaying price adjustments.”
— Federal Reserve Bank of Atlanta, June 2025
- “Several contacts across different retail sectors phased in price increases as old inventories were sold and replaced with goods subject to tariffs. Retailers expect additional price increases as this phase-in continues.”
— Federal Reserve Bank of San Francisco, Sep 2025
- “A coffee roaster noted that while tariffs on coffee have largely been lifted, selling **prices will only go down** once the stock of inventory acquired at higher costs has been cleared.”
— Federal Reserve Bank of New York, Jan 2026

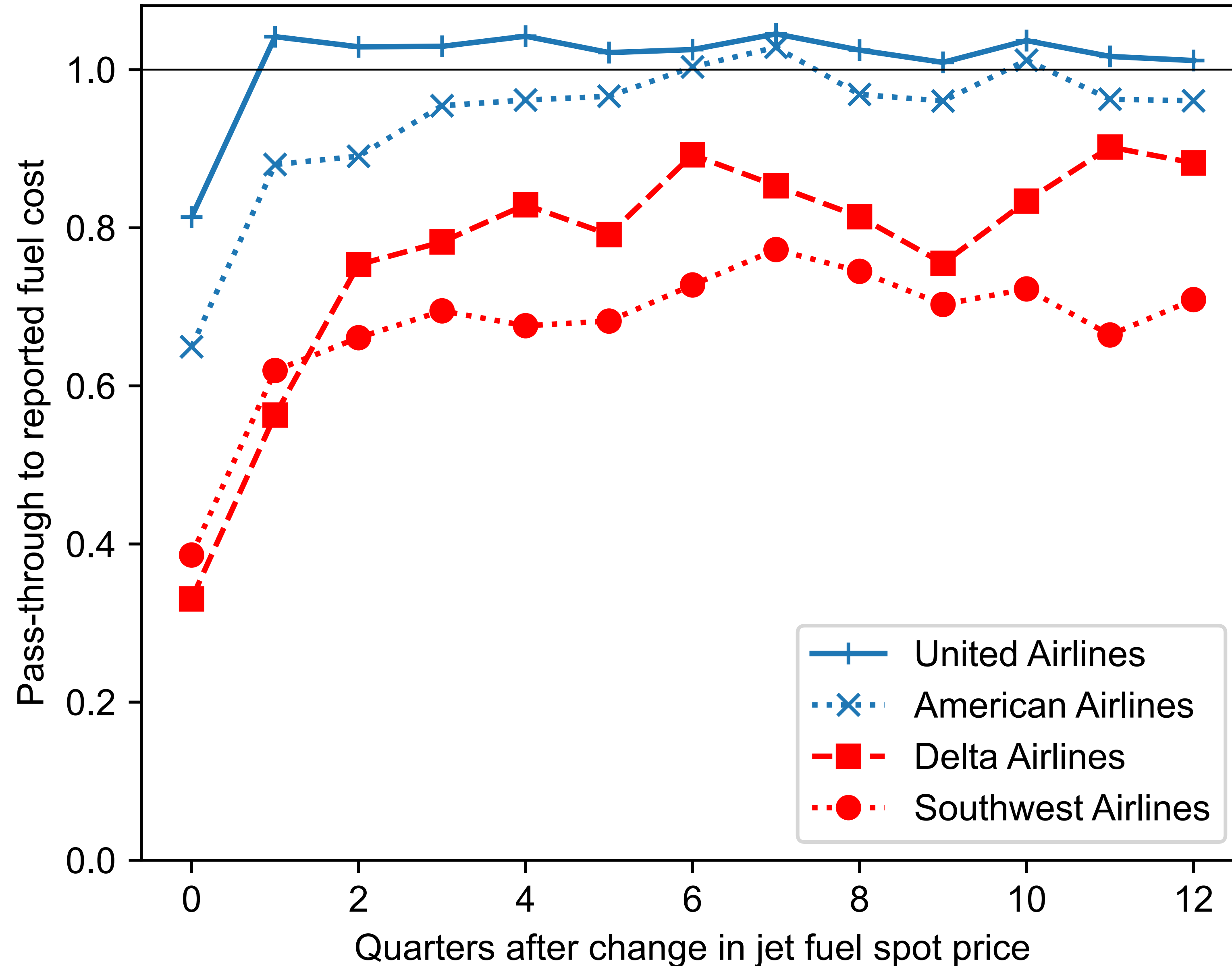
The puzzling case of the pre-tariff inventories

- “Suppose your input cost rises today, but you still have inventory bought at lower cost. When do you raise your sales price?”



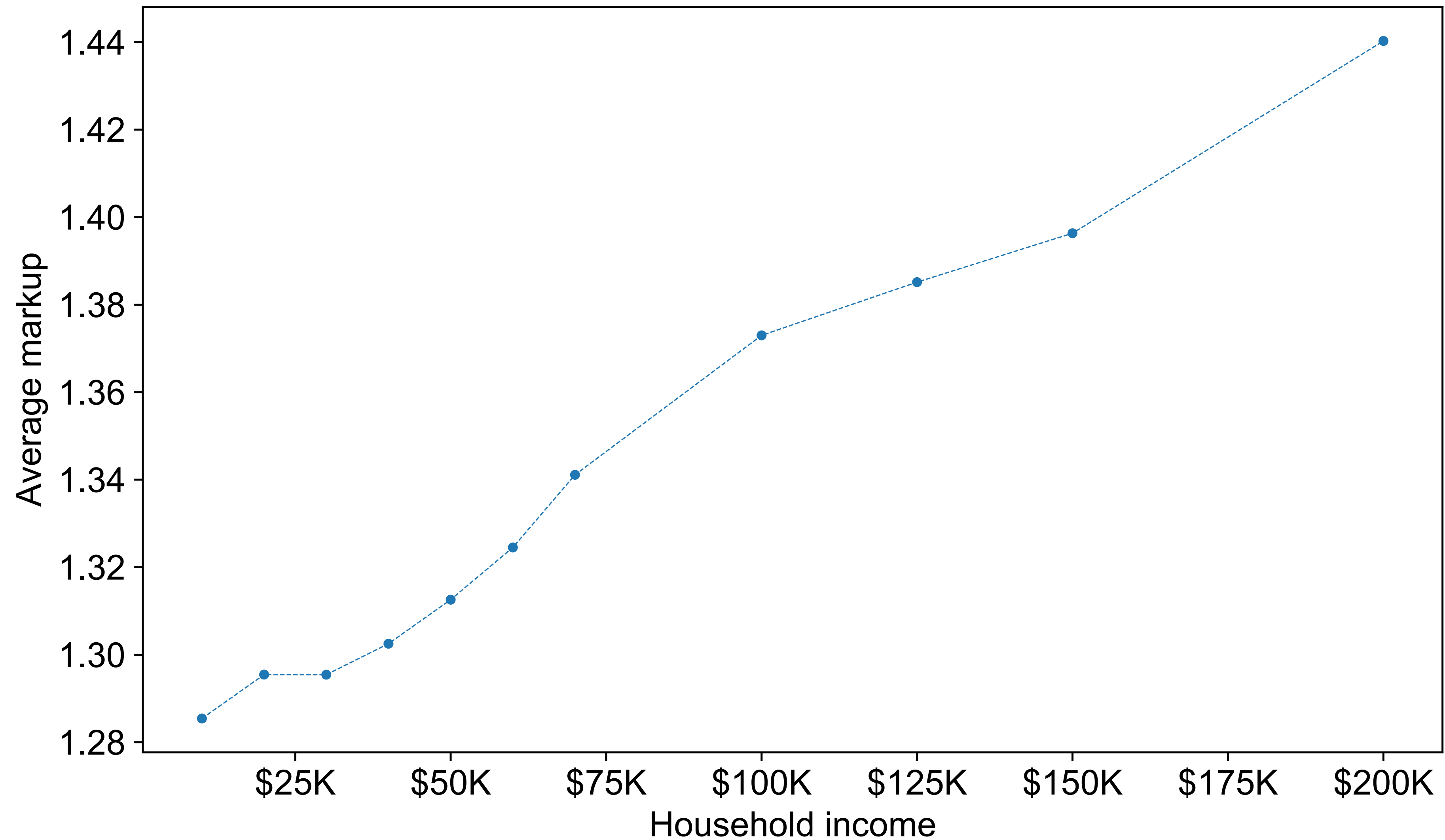
Note: Survey of 400 firm price-setters by Schoenle (2026).

Sluggish adjustment of prices... or measured cost?

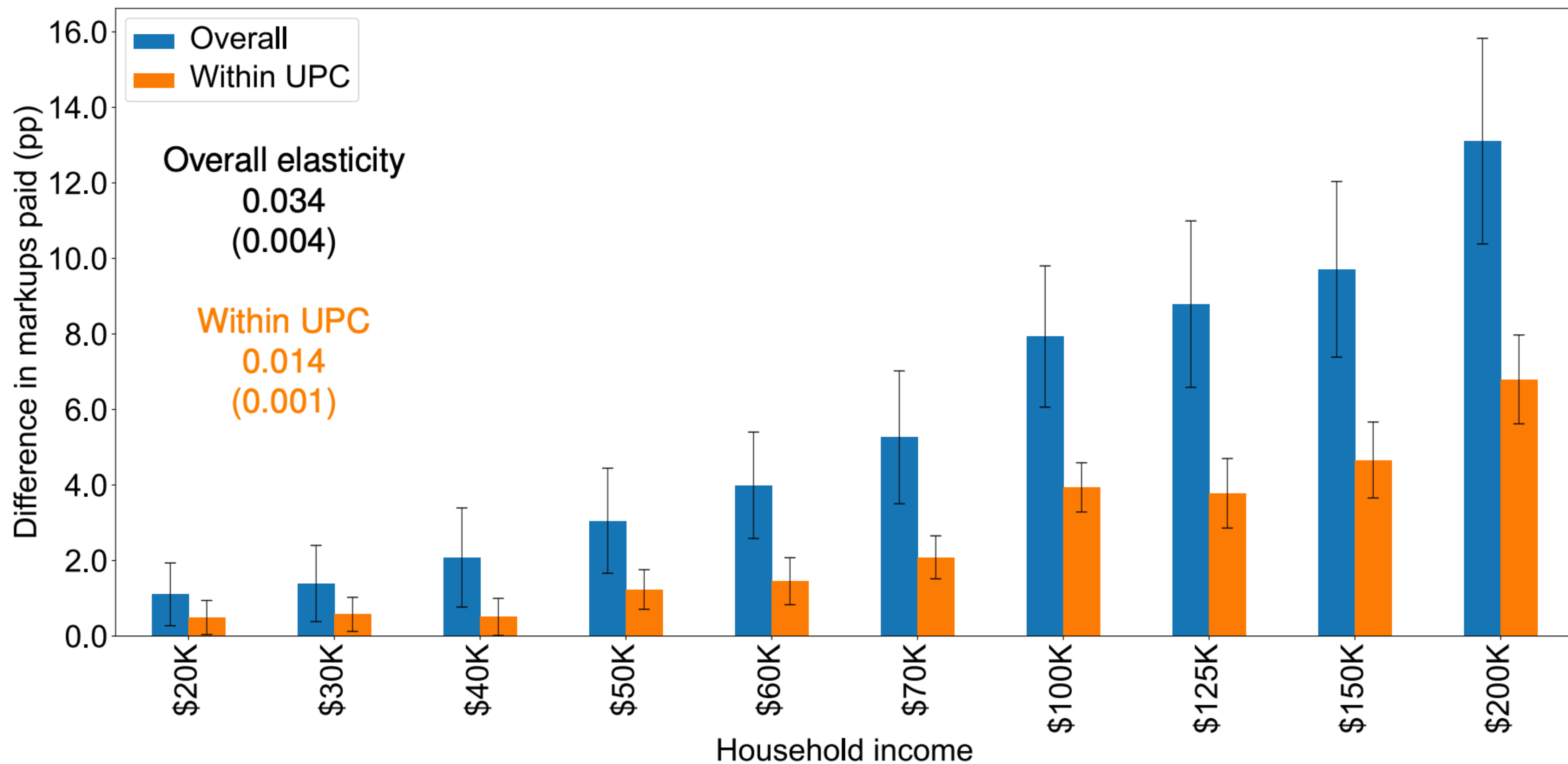


Poverty premium?

Figure: Aggregate (cost-weighted average) markup paid by income group.



Poverty premium?



(b) Markup gap including cross-store differences, with county and retailer–product controls
($N = 25.8$ million).

The Boots Theory

Take boots, for example.... A really good pair of leather boots cost fifty dollars. But an *affordable* pair of boots, which were sort of OK for a season or two and then leaked like hell when the cardboard gave out, cost about ten dollars. Those were the kind of boots Vimes always bought...

But the thing was that *good* boots lasted for years and years. A man who could afford fifty dollars had a pair of boots that'd still be keeping his feet dry in ten years' time, while a poor man who could only afford cheap boots would have spent a hundred dollars on boots in the same time *and would still have wet feet.*

—Terry Pratchett, *Men at Arms* (1993)